

1. What is considered the most important part of integrated Materials Management Services?

- A) Finance Management
- B) Purchase Management
- C) Inventory Management
- D) Vendor Management

Answer: B) Purchase Management

2. Which edition of the Purchase Management System Manual was published in March 2018?

- A) First Edition
- B) Second Edition
- C) Third Edition
- D) Fourth Edition

Answer: C) Third Edition

3. The basic objective of Purchase Management is to ensure:

- A) Maximum profit
- B) Fast delivery only
- C) Right Quality at Right Price from Right Source
- D) Vendor satisfaction only

Answer: C) Right Quality at Right Price from Right Source

4. Which class of items has annual consumption above Rs. 1 lakh?

- A) B-Class
- B) C-Class
- C) A-Class
- D) D-Class

Answer: C) A-Class

5. Which of the following is NOT a PR material planning group?

- A) Consumable Spares
- B) Capital Items
- C) Revenue Tax
- D) Stock Items

Answer: C) Revenue Tax

6. What does AR stand for in materials planning?

- A) Annual Review
- B) Automatic Replenishment
- C) Asset Return
- D) Approved Requisition

Answer: B) Automatic Replenishment

7. Emergent rating of PR should be approved by:

- A) Any supervisor
- B) E4 level officer
- C) Head of Department at minimum E7 level
- D) Finance only

Answer: C) Head of Department at minimum E7 level

8. Which department scrutinizes PR before registration?

- A) HR
- B) Finance
- C) C&M Department
- D) Security

Answer: C) C&M Department

9. Open tender is normally adopted for PR value above:

- A) Rs. 5 lakhs
- B) Rs. 10 lakhs
- C) Rs. 25 lakhs
- D) Rs. 50 lakhs

Answer: D) Rs. 50 lakhs

10. Limited tender is generally used for PR value:

- A) Above Rs. 50 lakhs
- B) Below Rs. 50 lakhs
- C) Above Rs. 1 crore
- D) Only for imported items

Answer: B) Below Rs. 50 lakhs

11. Which tender type is issued to a single source like OEM/OES?

- A) Open Tender
- B) Spot Tender
- C) Single Tender
- D) GeM Tender

Answer: C) Single Tender

12. Procurement up to Rs. 5,00,000 may be done through:

- A) Newspaper Advertisement
- B) GeM Portal
- C) Reverse Auction only
- D) Manual Tender

Answer: B) GeM Portal

13. The general quotation period allowed to bidders is:

- A) 3 days
- B) 7 days
- C) 14 days
- D) 30 days

Answer: C) 14 days

14. Qualifying Requirement (QR) is required mainly for:

- A) Limited Tenders
- B) Single Tenders
- C) Open Tenders
- D) Cash Purchases

Answer: C) Open Tenders

15. What percentage of procurement should be made from MSEs?

- A) 5%
- B) 10%
- C) 15%
- D) 20%

Answer: D) 20%

16. MSE vendors get purchase preference if their prices are within:

- A) 5% of L1
- B) 10% of L1
- C) 15% of L1
- D) 20% of L1

Answer: C) 15% of L1

17. Tender document cost for PR value up to Rs.100 lakhs is:

- A) Rs.500
- B) Rs.1125
- C) Rs.2250
- D) Rs.4500

Answer: B) Rs.1125

18. Normally tenders are invited in:

- A) Single Envelope System
- B) Three Envelope System
- C) Single Stage Two Envelope System
- D) Manual System

Answer: C) Single Stage Two Envelope System

19. Negotiation should normally be done with:

- A) All bidders
- B) Highest bidder
- C) L1 bidder only
- D) Random bidder

Answer: C) L1 bidder only

20. Vendor should return signed duplicate copy of PO within:

- A) 3 days
- B) 5 days
- C) 7 days
- D) 30 days

Answer: C) 7 days

True / False Questions

1. Purchase Management is a service function.
Answer: True
 2. Cash purchase should be encouraged for regular maintenance items.
Answer: False
 3. QR should be too stringent to reduce competition.
Answer: False
 4. Late tenders are normally accepted in e-tendering.
Answer: False
 5. Comparative statement is signed by Tender Committee.
Answer: True
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Short Answer Questions

1. What are the four basic groups for Purchase Requisition planning?
Answer: Stock Items (AR), Consumable Spares (C), Capital Items (P), Other Non-stock Items (O).
2. What is the main purpose of Qualifying Requirement (QR)?
Answer: To assess the financial and technical capability of bidders.

3. Name any two modes of tendering.

Answer: Open Tender, Limited Tender, Single Tender, Spot Tender, GeM Tender.

4. What is the procurement cycle reckoned from?

Answer: From the date of PR Registration.

5. What is the purpose of Tender Committee?

Answer: To finalize recommendation of procurement action.

1. What is the normal manpower benchmark for purchase section including P&S?

A) 2 man days per PR

B) 5 man days per PR

C) 10 man days per PR

D) 15 man days per PR

Answer: B) 5 man days per PR

2. PR for “A” class spare items shall be raised:

A) Department wise

B) Equipment wise

C) Vendor wise

D) Budget wise

Answer: B) Equipment wise

3. Each indent should contain items of:

A) Different main groups

B) Same vendor

C) Same main group

D) Same budget code only

Answer: C) Same main group

4. PR should be generated online in:

A) Oracle

B) ERP only

C) SAP System

D) Manual Register

Answer: C) SAP System

5. Detailed specifications in PR help avoid:

- A) Budget approval
- B) Sample calling
- C) Vendor registration
- D) Payment delays

Answer: B) Sample calling

6. Indent should generally be raised:

- A) After delivery date
- B) One lead time in advance
- C) At year end only
- D) After stock out

Answer: B) One lead time in advance

7. Same item indent cannot normally be raised more than:

- A) Once a year
- B) Twice a year
- C) Three times a year
- D) Four times a year

Answer: B) Twice a year

8. Which document is required where pre-dispatch inspection is involved?

- A) GST Certificate
- B) Delivery Challan
- C) QAP/Inspection Procedure
- D) Insurance Copy

Answer: C) QAP/Inspection Procedure

9. PR should be raised only when:

- A) Vendor agrees
- B) Budget is allocated
- C) Tender is floated
- D) Finance approves payment

Answer: B) Budget is allocated

10. Screening committee review is required for O&M spares above:

- A) Rs.1 lakh
- B) Rs.2 lakhs
- C) Rs.5 lakhs
- D) Rs.50 lakhs

Answer: C) Rs.5 lakhs

11. Screening committee for indents above Rs.10 lakhs includes:

- A) HR only
- B) C&M only
- C) HOD(C&M), HOD(F&A), HOD(O&M)
- D) Security Department

Answer: C) HOD(C&M), HOD(F&A), HOD(O&M)

12. Spot tender involves:

- A) Newspaper advertisement
- B) Reverse auction
- C) Visiting market and issuing spot enquiry
- D) Global tendering

Answer: C) Visiting market and issuing spot enquiry

13. Tender documents are approved by:

- A) Finance only
- B) HOD(C&M)
- C) CEO
- D) Vendor Committee

Answer: B) HOD(C&M)

14. Which of the following forms part of tender documents?

- A) Attendance Register
- B) Bid Price Schedule
- C) Leave Application
- D) Payroll Sheet

Answer: B) Bid Price Schedule

15. No qualifying requirement is required for:

- A) Open Tenders
- B) LTEs & STEs
- C) GeM Purchase
- D) Global Tenders

Answer: B) LTEs & STEs

16. Technical Services Department normally acts as:

- A) Auditor
- B) Approving authority
- C) Convener for QR formulation
- D) Vendor evaluator only

Answer: C) Convener for QR formulation

17. Tender document fee and EMD are exempted for:

- A) Foreign vendors
- B) Government officers
- C) MSE vendors
- D) Consultants only

Answer: C) MSE vendors

18. In Single Stage Two Envelope System, Envelope-II contains:

- A) QR documents
- B) Technical bid
- C) Price bid only
- D) Vendor registration

Answer: C) Price bid only

19. Tenders are opened with:

- A) Rubber Stamp
- B) Physical Seal
- C) Digital Signature
- D) Barcode System

Answer: C) Digital Signature

20. Normally, bids are not opened if valid response is less than:

- A) 1
- B) 2
- C) 3
- D) 5

Answer: C) 3

Fill in the Blanks

1. Purchase Management aims at ensuring Right Quality at Right _____.
Answer: Price
 2. ABC analysis is a technique for selective _____.
Answer: Control
 3. Procurement cycle is reckoned from the date of PR _____.
Answer: Registration
 4. Open tenders are generally issued through public _____.
Answer: Advertisement
 5. Negotiation is normally done with _____ vendor only.
Answer: L1
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Rapid Fire Questions

1. Full form of PR?
Answer: Purchase Requisition
2. Full form of QR?
Answer: Qualifying Requirement
3. Full form of EMD?
Answer: Earnest Money Deposit
4. Full form of QAP?
Answer: Quality Assurance Plan
5. Full form of MSE?
Answer: Micro & Small Enterprises
6. Full form of SAP?
Answer: Systems, Applications & Products
7. Full form of OEM?
Answer: Original Equipment Manufacturer
8. Full form of OES?
Answer: Original Equipment Supplier
9. Full form of DOP?
Answer: Delegation of Powers
10. Full form of GPC?
Answer: General Purchase Conditions

1. Minimum local content required for a “Class-I local supplier” is:

- A) 20%
- B) 30%
- C) 50%
- D) 75%

Answer: C) 50%

2. Minimum local content required for a “Class-II local supplier” is:

- A) 10%
- B) 20%
- C) 40%
- D) 50%

Answer: B) 20%

3. Which supplier category does NOT get purchase preference?

- A) Class-I Local Supplier
- B) MSE Supplier
- C) Class-II Local Supplier
- D) OEM Supplier

Answer: C) Class-II Local Supplier

4. If L1 bidder is an MSE and also a Class-I local supplier, then:

- A) Tender is cancelled
- B) Order is split equally
- C) Contract is awarded to L1
- D) Fresh tender is issued

Answer: C) Contract is awarded to L1

5. Purchase preference margin for Class-I local supplier is:

- A) 5%
- B) 10%
- C) 15%
- D) 20%

Answer: D) 20%

6. MSE bidders within what percentage of L1 price are eligible to match?

- A) 5%
- B) 10%
- C) 15%
- D) 20%

Answer: C) 15%

7. In divisible tenders, if L1 is a Class-I local supplier but not an MSE, what percentage is normally awarded to L1?

- A) 25%
- B) 50%
- C) 75%
- D) 100%

Answer: C) 75%

8. Reverse Auction purchase preference is applicable on:

- A) Initial quoted price
- B) Estimated cost
- C) Lowest evaluated bid after RA
- D) Negotiated price only

Answer: C) Lowest evaluated bid after RA

9. For procurement above which value is auditor certificate regarding local content required?

- A) ₹1 Crore
- B) ₹5 Crore
- C) ₹10 Crore
- D) ₹50 Crore

Answer: C) ₹10 Crore

10. False declaration on local content shall be dealt under:

- A) Leave Rules
- B) Fraud Prevention Policy
- C) HR Policy
- D) Arbitration Act

Answer: B) Fraud Prevention Policy

11. Complaints regarding PPP-MII implementation are handled by:

- A) Vigilance only
- B) External auditor
- C) Committee constituted by C&M Deptt.
- D) HR Department

Answer: C) Committee constituted by C&M Deptt.

12. Restrictive foreign certifications in tender require approval of:

- A) Finance Manager
- B) AGM(C&M)

- C) Secretary, Power
- D) CEO NTPC

Answer: C) Secretary, Power

13. Small procurements below which value are exempted from applicability?

- A) ₹1 lakh
- B) ₹2 lakh
- C) ₹5 lakh
- D) ₹10 lakh

Answer: C) ₹5 lakh

14. Single tenders and OEM/OES cases are:

- A) Fully covered
- B) Partially covered
- C) Exempted
- D) Restricted only for Class-I suppliers

Answer: C) Exempted

15. Procurement projections are to be prepared for next:

- A) 1 year
- B) 2 years
- C) 3 years
- D) 5 years

Answer: D) 5 years

True / False

1. Class-II local suppliers get purchase preference in procurement.

Answer: False

2. Local content declaration may be sought through SRM/GTE features.

Answer: True

3. Tendering by agents is encouraged under Make in India guidelines.

Answer: False

4. Arbitration proceedings shall generally be instituted in India only.

Answer: True

5. Procurement should not be intentionally split to avoid applicability of the circular.

Answer: True

Fill in the Blanks

1. "Class-I local supplier" requires minimum _____% local content.
Answer: 50
 2. Purchase preference margin for Class-I local suppliers is _____%.
Answer: 20
 3. MSE bidders within _____% of L1 are eligible to match L1 price.
Answer: 15
 4. Complaints on PPP-MII implementation are handled by a _____.
Answer: Committee
 5. Procurement projections are prepared for next _____ years.
Answer: 5
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Rapid Fire Questions

1. Full form of PPP-MII?
Answer: Public Procurement (Preference to Make in India)
2. Full form of DPIIT?
Answer: Department for Promotion of Industry and Internal Trade
3. Full form of RA?
Answer: Reverse Auction
4. Full form of DCB?
Answer: Domestic Competitive Bidding

5. Full form of IFB?
Answer: Invitation for Bid
6. Full form of ITB?
Answer: Instructions to Bidders
7. Full form of BDS?
Answer: Bid Data Sheet
8. Full form of BG?
Answer: Bank Guarantee
9. Full form of EPR?
Answer: Extended Producers Responsibility
10. Full form of HVAC?
Answer: Heating, Ventilation and Air Conditioning